MR. JUSTICE HOLMES.

I think that the judgment should be affirmed. The principle that I think should govern is the same that I stated in *Louisville Gas & Electric Co.* v. *Coleman, ante,* p. 41. Although this principle was not applied in that case I do not suppose it to have been denied that taxing acts like other rules of law may be determined by differences of degree, and that to some extent States may have a domestic policy that they constitutionally may enforce. *Quong Wing* v. *Kirkendall,* 223 U. S. 59. If usually there is an important difference of degree between the business done by corporations and that done by individuals, I see no reason why the larger businesses may not be taxed and the small ones disregarded, and I think it would be immaterial if here and there exceptions were found to the general rule. *Flint* v. *Stone Tracy Co.,* 220 U. S. 107, 158, *et seq. Citizens Telephone Co.* v. *Fuller,* 229 U. S. 322. *Amoskeag Savings Bank* v. *Purdy,* 231 U. S. 373, 393. *Miller* v. *Wilson,* 236 U. S. 373, 384. *Armour & Co.* v. *North Dakota,* 240 U. S. 510, 517. Furthermore if the State desired to discourage this form of activity in corporate form and expressed its desire by a special tax I think that there is nothing in the Fourteenth Amendment to prevent it.

MR. JUSTICE BRANDEIS, dissenting.

It has been the consistent policy of Pennsylvania since 1840 to subject businesses conducted by corporations to heavier taxation than like businesses conducted by individuals.[1] It has likewise been the consistent policy of

[1] Pennsylvania was the first state to adopt a general corporation tax. P. L. 1839–1840, p. 612. In 1868 the tax was extended to foreign corporations. P. L. 1868, p. 108. The courts of Pennsylvania have regularly upheld the power of the Legislature, under the state